

ACCOUNTANCY

Introduction accounting ;

Accounting is the process of recording, summarizing, analyzing, and reporting financial transactions of a business or individual. It provides vital information that helps in decision-making, planning, and controlling financial activities.

Formal Definition (as per AICPA):

“Accounting is the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.”

Objectives of Accounting;

- 1 **Record Financial Transactions** – It means documenting **every financial event** (like sales, purchases, payments, receipts) in the business's **books of accounts**, usually through a system called **bookkeeping**.
- 2 **Determine Profit or Loss** – Is one of the most important goals of accounting. It shows whether a business is making money or losing money over a specific period.

☒ What Is Profit or Loss?

- **Profit (Net Income):** When total **revenue** is greater than total **expenses**
- **Loss (Net Loss):** When total **expenses** are greater than total **revenue**

☐ Formula to Calculate Profit or Loss:

Profit or Loss = Total Revenue – Total Expenses

3 **Show Financial Position** – **Showing the financial position** of a business means presenting a clear picture of what the business **owns**, **owes**, and how much **equity** (ownership) it has at a specific point in time.

☑ How Is Financial Position Shown?

Through a key financial report called the **Balance Sheet** (also known as the **Statement of Financial Position**).

☐ Balance Sheet Format:

Assets (What the business owns)	=	Liabilities (What the business owes) + Equity (Owner's share)
E.g. Cash, Equipment, Inventory, etc.		E.g. Loans, Accounts Payable + Capital, Retained Earnings

☐ Basic Accounting Equation:

Assets = Liabilities + Equity

This equation must always **balance**, and it's the foundation of showing financial position.

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4 Aid Decision-Making – One of the key purposes of accounting is to **help business owners, managers, and other stakeholders make informed decisions** by providing accurate and timely financial information.

☑ How Does Accounting Aid Decision-Making?

Accounting provides **clear financial reports** that show how a business is performing. These reports help in:

- 1. Budgeting and Planning**
 - Forecast future income and expenses
 - Allocate resources efficiently
- 2. Cost Control**

- Identify areas where expenses can be reduced
 - Avoid unnecessary spending
 - 3. **Pricing Decisions**
 - Set prices based on costs and expected profit margins
 - 4. **Investment Decisions**
 - Decide whether to invest in new equipment, hire staff, or expand operations
 - 5. **Credit Decisions**
 - Determine whether the business can afford to take loans or offer credit to customers
 - 6. **Performance Evaluation**
 - Compare actual performance with goals or past periods
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Function of accounting

The **function of accounting** refers to the various roles it plays in tracking, analyzing, and reporting financial transactions of an individual, business, or organization. Here are the **main functions of accounting**:

1. Recording Transactions (Bookkeeping)

- Systematically records all financial transactions (sales, purchases, income, expenses).
 - Forms the basis of all accounting activities.
 - Tools: Journals, ledgers, and accounting software.
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2. Classifying and Summarizing

- **Classifying:** Grouping similar transactions under common categories (e.g., wages, rent, utilities).
- **Summarizing:** Preparing financial summaries such as:
 - Trial balance
 - Profit and Loss Statement

- Balance Sheet
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3. Analyzing and Interpreting

- Helps in understanding the financial health of a business.
 - Assists stakeholders in making informed decisions.
 - Example: Analyzing trends in income vs. expenses over time.
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4. Reporting Financial Information

- Communicates financial performance and position to:
 - Management
 - Investors
 - Creditors
 - Government agencies
 - Done through financial statements and reports.
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5. Compliance and Legal Requirements

- Ensures financial records meet laws, standards (e.g., GAAP or IFRS), and tax regulations.
 - Prepares financial reports for regulatory bodies like the IRS or tax authorities.
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6. Budgeting and Forecasting

- Assists in creating budgets and financial plans.
 - Forecasts future financial performance based on historical data.
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7. Internal Controls and Fraud Prevention

- Implements checks and balances to prevent errors or fraud.

- Helps safeguard assets and improve operational efficiency.

8. Decision Making

- Provides information critical to decision-making, such as:
 - Cost control
 - Pricing strategies
 - Investment decisions
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Accounting and book keeping

Feature	Bookkeeping	Accounting
Definition	The process of recording daily financial transactions in a consistent way.	The process of summarizing, interpreting, analyzing, and reporting financial data.
Scope	Narrow – focuses only on recording and organizing financial data.	Broader – includes bookkeeping, plus analyzing and interpreting data.
Objective	To maintain accurate records of financial transactions.	To assess financial health and support decision-making.
Tasks Involved	- Recording sales & purchases - Posting journal entries - Managing ledgers - Reconciling bank statements	- Preparing financial statements - Interpreting financial data - Budgeting & forecasting - Tax planning & compliance
Skills Required	Basic understanding of financial transactions and record-keeping.	Advanced understanding of finance, tax laws, and analytical thinking.
Tools Used	Ledgers, journals, spreadsheets, or bookkeeping software (e.g., QuickBooks).	Accounting software, financial models, and analysis tools.
Performed By	Bookkeepers	Accountants (who may also supervise bookkeepers)

Classification of various users of accounting information

1. Internal Users (Inside the Organization)

These are individuals within the organization who use accounting data to make day-to-day and strategic decisions.

a. Management

- Use accounting information for planning, controlling, and decision-making.
- Example: Setting budgets, measuring performance, evaluating profitability.

b. Employees and Workers

- Interested in the financial health of the business.
- Use information to understand job security, performance bonuses, and wage negotiations.

c. Owners or Shareholders (in small businesses)

- Want to know the business's profitability, growth, and return on investment.
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2. External Users (Outside the Organization)

These users rely on published financial statements to make decisions affecting their interests in or relationship with the company.

a. Investors and Shareholders

- Want to assess the company's profitability, financial stability, and growth potential before investing or holding shares.

b. Creditors and Lenders

- Banks and suppliers use accounting data to assess the company's creditworthiness and ability to repay debts.

c. Government and Tax Authorities

- Use the data to verify tax obligations, ensure regulatory compliance, and assess the company's economic impact.

d. Regulatory Agencies

- Monitor compliance with financial regulations and accounting standards (e.g., SEC, FASB).

e. Customers

- May want to know if the business is financially stable enough to provide goods/services long-term.

f. Public and Media

- Interested in how the business affects the economy, environment, and society (especially in the case of large corporations).

Types of accounting

1. Financial Accounting

It is a branch of accounting that involves **recording, summarizing, and reporting** a company's financial transactions **to external users**, such as investors, creditors, regulators, and tax authorities.

2. Management Accounting (Managerial Accounting)

It is a branch of accounting that focuses on **providing financial and non-financial information to internal management** to help with planning, decision-making, and controlling business operations.

3. Cost Accounting

It is a type of accounting that focuses on **recording, analyzing, and controlling the costs of producing goods or providing services**. It helps businesses

understand the cost structure and make better decisions regarding pricing, budgeting, and cost control.

🔗 4. Tax Accounting

It is a branch of accounting that deals with the **preparation, analysis, and filing of tax returns and payments**. It ensures that individuals and businesses **comply with tax laws and regulations** while minimizing tax liability legally.

🔗 5. Auditing

The process of **examining and verifying the financial records, statements, and systems** of an organization to ensure that they are **accurate, complete, and comply with laws and accounting standards**.

🔗 6. Forensic Accounting

Forensic Accounting is a specialized field of accounting that involves **investigating, analyzing, and interpreting financial data** to detect fraud, financial crimes, or disputes, often for use in **legal proceedings**.

🔗 7. Government Accounting (Public Sector Accounting)

Government Accounting is the **system of recording, managing, and reporting financial transactions** related to government activities. It ensures **proper use of public funds** and **transparency in financial operations** of government bodies.

🔗 8. Fiduciary Accounting

Fiduciary Accounting is the process of **managing and reporting financial information by a person (fiduciary)** who is **responsible for managing someone else's money or property**, such as in a **trust, estate, guardianship, or agency relationship**.

✓ Summary Table

Type of Accounting	Main Purpose	Primary Users
Financial Accounting	Reporting financial performance	External stakeholders
Management Accounting	Internal planning and decision-making	Managers, executives
Cost Accounting	Cost control and pricing	Production managers, accountants
Tax Accounting	Tax compliance and planning	Tax authorities, business owners
Auditing	Verifying financial accuracy	Management, regulators, investors
Forensic Accounting	Investigating fraud or disputes	Legal system, law enforcement
Government Accounting	Managing public funds	Government and public
Fiduciary Accounting	Managing assets held in trust	Trustees, beneficiaries

Financial cost and management accounting

1. Financial Accounting

□ Definition:

Financial accounting involves recording, summarizing, and reporting a company's financial transactions to provide a clear picture of its financial position and performance.

□ Purpose:

To provide standardized financial information to **external users** (e.g., investors, regulators, creditors).

□ **Key Features:**

- Prepares **financial statements**: income statement, balance sheet, cash flow.
 - Governed by **accounting standards** (e.g., GAAP or IFRS).
 - Historical in nature.
 - Legal and regulatory focus.
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🔍 2. Cost Accounting

□ **Definition:**

Cost accounting tracks, analyzes, and controls the costs associated with producing goods or services.

□ **Purpose:**

To help businesses determine **cost efficiency**, **product pricing**, and **cost control**.

□ **Key Features:**

- Focuses on **per-unit cost**, overhead, labor, and material costs.
 - Used mainly by **internal users** (e.g., production managers).
 - Often forms the base for pricing and inventory valuation.
 - Not regulated by accounting standards.
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🔍 3. Management Accounting

□ **Definition:**

Management accounting provides financial and non-financial information for **internal decision-making**.

□ **Purpose:**

To support **planning**, **control**, and **strategic decision-making** by managers.

□ Key Features:

- Involves **budgeting, forecasting, break-even analysis**, etc.
- Highly flexible and tailored to business needs.
- Future-oriented.
- Combines data from both **cost** and **financial accounting**.

🔍 Comparison Table

Aspect	Financial Accounting	Cost Accounting	Management Accounting
Main Users	External (investors, government, banks)	Internal (production, cost controllers)	Internal (managers, executives)
Purpose	Report financial performance	Analyze and control production costs	Aid decision-making, planning, and strategy
Nature	Historical	Historical + analytical	Mostly future-oriented
Standards Required	Must follow GAAP/IFRS	No fixed standards	No fixed standards
Focus	Whole business	Product or service cost	Overall performance and future planning
Reporting Frequency	Usually quarterly or annually	As needed	As needed

Accounting terms

Cash Transaction – Meaning:

A **cash transaction** is a **type of transaction** where **payment is made using physical cash** (coins or banknotes) at the time of the exchange of goods or services.

Credit Transaction – Meaning:

A **credit transaction** is a **type of transaction** where **payment is made at a later date**, not immediately at the time of purchase.

Assets – Meaning:

An **asset** is **anything valuable that a person or business owns** that can be used to generate income, provide benefit, or be converted into cash.

Fixed Assets – Meaning:

Fixed assets are **long-term tangible assets** that a business or individual **owns and uses** to produce income and are **not expected to be sold or consumed within one year**.

Current Assets – Meaning:

Current assets are **short-term assets** that a business or person **expects to convert into cash, sell, or use within one year** (or within one business cycle, whichever is longer).

Liabilities – Meaning:

Liabilities are **financial obligations or debts** that a person or business **owes to others** — like loans, unpaid bills, or money owed to suppliers.

☑ Simple Definition:

Liabilities = What you owe.

They are the opposite of **assets** (what you own).

Types of Liabilities:

1. Current Liabilities

These are **short-term debts** that must be paid **within one year**.

- ☐ Accounts payable (money owed to suppliers)
- ☐ Short-term loans or overdrafts
- ☐ Salaries payable
- ☐ Taxes payable
- ☐ Unearned revenue (payment received in advance for future services)

2. Non-Current Liabilities (Long-Term Liabilities)

These are **debts due after one year**.

- ☐ Long-term loans or mortgages
- ☐ Bonds payable
- ☐ Employee benefits payable after retirement

Examples:

For an Individual:

- Home loan = liability
- Credit card balance = liability
- Car loan = liability

For a Business:

- ₹5 lakh loan from bank (non-current liability)
- ₹80,000 owed to suppliers (current liability)
- ₹25,000 in unpaid electricity bills (current liability)

On the Balance Sheet:

Liabilities are shown on the **right side** of the balance sheet and are usually divided into:

- **Current Liabilities**
- **Non-Current Liabilities**

Assets vs. Liabilities:

Concept	Assets	Liabilities
Meaning	What you own	What you owe
Example	Cash, land, inventory	Loans, bills, salaries payable
Effect	Increases your net worth	Decreases your net worth

Short-Term Liabilities – Meaning:

Short-term liabilities (also called **current liabilities**) are **debts or financial obligations** that a business or individual **must pay within one year**.

☑ Simple Definition:

Short-term liabilities are what you owe in the near future (within 12 months).

Capital – Meaning:

Capital generally refers to the **money or assets invested in a business** by the owner(s) to start, run, or expand it. It represents the **owner's stake** or **equity** in the business.

☑ Simple Definition:

Capital = Owner's investment + retained earnings in the business.

Voucher – Meaning:

A **voucher** is a **document or record** that serves as proof of a transaction or authorization for payment.

✓Key Uses of Vouchers:

1. **Payment Voucher:**
Authorizes payment for goods or services.
 2. **Purchase Voucher:**
Records a purchase transaction.
 3. **Receipt Voucher:**
Proof of money received.
 4. **Expense Voucher:**
Supports an expense claim.
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Goods – Meaning:

Goods are **physical, tangible products** that are bought, sold, or traded. They are items that satisfy human wants and needs.

Debtors – Meaning:

Debtors are **individuals or businesses that owe money to a company** because they have bought goods or services on credit.

✓Simple Definition:

Debtors = Customers who have not yet paid for what they bought.

Creditors – Meaning:

Creditors are **individuals or businesses to whom a company owes money** because it has purchased goods or services on credit.

✓ **Simple Definition:**

Creditors = Suppliers or lenders the business needs to pay.

Revenue – Meaning:

Revenue is the **total income a business earns from its normal activities**, usually by selling goods or providing services, before any expenses are deducted.

✓ **Simple Definition:**

Revenue = Money earned from sales or services.

Expense – Meaning:

An **expense** is the **cost incurred by a business to earn revenue** or run its day-to-day operations.

✓ **Simple Definition:**

Expense = Money spent or cost to operate the business.

Revenue Expenditure – Meaning:

Revenue expenditure refers to the **expenses incurred for the day-to-day running of a business**. These expenses are used up within the accounting period and do **not** create any long-term benefit.

✓ **Simple Definition:**

Revenue expenditure = Costs for regular operations, consumed quickly, and charged fully in the current period.

Gain – Meaning:

A **gain** is an **increase in equity (wealth)** from **peripheral or incidental transactions**, other than the main business operations.

✓ Simple Definition:

Gain = Extra money earned from activities not part of regular business.

Loss – Meaning:

A **loss** is a **decrease in equity** resulting from expenses, damages, or transactions that reduce the value of a business, especially when the amount spent or lost is greater than the income earned.

✓ Simple Definition:

Loss = When expenses or costs exceed income, or when an asset is sold for less than its value.

Trade Discount – Meaning:

A **trade discount** is a **reduction in the listed price of goods** given by the seller to the buyer, usually for buying in bulk, being a regular customer, or promoting sales.

✓ Simple Definition:

Trade discount = Price reduction offered on the listed price before the sale is made.

Bookkeeping – Meaning:

Bookkeeping is the **process of recording all financial transactions** of a business in an organized way.

☑ Simple Definition:

Bookkeeping = Keeping track of money coming in and going out.

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